

694a99ab1267cc03a6f4

In this manner, FDs are arranged as a ladder, with each rung representing a matured and reinvested FD.

Benefits of FD Laddering:

- Higher liquidity as you have FD maturing every year.
- The 3-year FDs usually have the highest interest rates among the other tenures offered by banks. Hence, you get to reinvest your FDs in the highest interest-rate tenure FDs.
- When the interest rates are rising, you are reinvesting your FDs at a higher rate.

